

THE WALL STREET JOURNAL.

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★★★★ \$5.00

Last week: DJIA 44342.19 ▼ 29.32 0.07% NASDAQ 20895.66 ▲ 1.5% STOXX 600 547.00 ▼ 0.1% 10-YR. TREASURY ▼ 2/32, yield 4.432% OIL \$67.34 ▼ \$1.11 EURO \$1.1627 YEN 148.83

What's News

Business & Finance

◆ **Progress** in artificial intelligence is dividing the fortunes of tech's so-called Magnificent Seven, with scorecards soon to be delivered in the form of quarterly earnings reports. **A1**

◆ **Chevron scored** a much-needed victory with its acquisition of Hess and consequent entry into an important oil project in Guyana, laying to rest doubts about its growth prospects. **B1**

◆ **BHP flagged rising costs** and delays at a potash project in Canada and said it may sell its Australian nickel operations, as it reported record annual iron ore and copper production. **B3**

◆ **"Superman" was invincible** at the weekend domestic box office, with receipts of \$57.2 million to bring cumulative ticket sales since the film's release to \$235 million. **B3**

◆ **A review of SpaceX's** contracts with the federal government aimed at detecting potential waste found most of them had to be maintained because they are critical to the Pentagon and NASA. **A4**

◆ **Divergent strategies** at Amazon and Walmart show how major retailers are reshaping prices on popular products as uncertainty about tariffs drags on. **B1**

◆ **Trump's push for the** use of cane sugar in Coca-Cola is bumping up against the fact that U.S. output of the product lags far behind demand for sweeteners overall. **B1**

◆ **Putting private equity** into 401(k) accounts could set off a wave of lawsuits from attorneys who specialize in suing companies over excessive plan fees, lawyers say. **B1**

World-Wide

◆ **Japan's ruling coalition** suffered a significant loss in a parliamentary election, a setback that risks derailing delicate trade negotiations with the U.S. just weeks before punishing tariffs are set to take effect. **A1**

◆ **Europe girded for** a counterattack in Trump's trade war after it was disappointed in its expectations of an imminent deal to keep U.S. duties in check. **A1**

◆ **China's exports of** rare-earth magnets in June were nearly three times those of the previous month after the country lifted some export controls. **A9**

◆ **With a tripling of its** budget and intensifying pressure to increase deportations, ICE is expanding its detention space with temporary structures, despite safety warnings. **A5**

◆ **Three people remained** missing, down from nearly 100 at an earlier count, since the Texas Hill Country was pounded by massive flooding on July 4, officials said. **A2**

◆ **At least 85 Palestinians** were killed while trying to reach food at locations across Gaza, the territory's Health Ministry said. **A10**

◆ **Wealthy expatriates** are leaving the U.K. after the government abolished a concession that excluded profits made abroad from the tax base of nondomiciled foreigners. **A8**

◆ **Syria's armed Bedouin** clans said they had withdrawn from the Druze-majority city of Sweida following weeklong clashes and a U.S.-brokered cease-fire. **A10**

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In U.K., an Open-and-Shut Case for Golf's No. 1



GREAT SCOTT: Scottie Scheffler of the U.S. cruised to a four-stroke victory in the British Open at Northern Ireland's Royal Portrush course with a 68 on Sunday. It was his first Open Championship, his second major of the season and the fourth of his career. **A14**

Europe Prepares to Confront U.S. on Trump Trade Measures

The bloc's earlier optimism on a deal fades; 'If they want war, they will get war'

By KIM MACKRAEL AND BERTRAND BENOIT

BRUSSELS—The European Union thought it was on the verge of a deal with the U.S. to keep tariffs in check. Now it is readying a counterattack.

U.S. officials told the EU's trade chief this past week that they expect President Trump to demand further concessions from the bloc to get an agreement, including a baseline tariff

on most European goods that could be in the range of 15% or higher, people briefed on the talks said.

That was an unwelcome surprise for the EU, which had been working toward an agreement that would have kept baseline tariffs at 10%, already a tough concession for some of its 27 countries. The shift prompted Germany—Europe's biggest economy and its largest exporter, which had previously been more dovish on U.S. retaliation—to swing closer to France's more confrontational position, people close to the discussions said.

Now, EU member states are pressing the bloc's executive

body to prepare new and potent measures to hit back against U.S. companies—beyond retaliatory tariffs on goods—if a deal can't be reached by the Aug. 1 deadline set by Trump, the people said.

"All options are on the table," a German official said on Friday. The official said there was still time to negotiate a deal but added: "If they want war, they will get war."

The push to ramp up potential countermeasures marks a turning point for the EU after months of negotiations to salvage the world's biggest trading relationship. More than \$5 billion of goods and services moves between the two econ-

omies every day, according to EU data.

The European Commission, which is in charge of the bloc's trade policy, said on Sunday that it wants a negotiated, mutually beneficial agreement and remains deeply engaged in negotiations. If no satisfactory outcome is found, all options remain on the table, a spokesman said.

On Sunday, Commerce Secretary Howard Lutnick expressed optimism about reaching an agreement with the EU.

"I am confident we'll get a deal done," Lutnick said on CBS. "And it will be great for America, because the presi-

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Japan's Ruling Coalition Takes Loss In Election

By JASON DOUGLAS AND YANG JIE

TOKYO—Japan's ruling coalition suffered a significant loss in a parliamentary election on Sunday, a setback that risks derailing delicate trade negotiations with the U.S. just weeks before punishing tariffs are set to take effect.

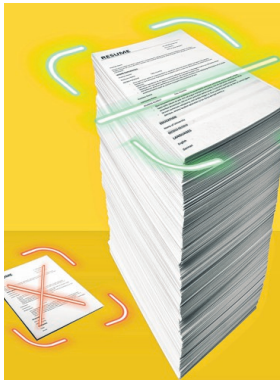
Prime Minister Shigeru Ishiba had gambled that his tough stance on trade with President Trump would help cement his shaky grip on power after less than a year in the job and an electoral snub last fall.

Instead, he lost his ruling coalition's majority in an election for the Japanese parliament's upper house, having already lost its lower-house majority in a vote in October. Polling showed Japanese voters were far more focused on inflation and immigration than they were on U.S. tariffs, a combination that has proved toxic to incumbent parties around the world and propelled the rise of populist alternatives.

A maverick lawmaker who secured the premiership on his fifth attempt in September, Ishiba could now face calls to resign, though he insisted on Sunday that he

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INSIDE



PERSONAL JOURNAL
As AI scans applications, job seekers rethink the one-page résumé. **A11**



BUSINESS & FINANCE
Tight supply makes cane-sugar soft drinks a challenging goal for U.S. makers. **B1**

The Biggest Name in K-Pop Isn't BTS. It's Netflix.

* * *

Fictional bands in hit film reach heights never achieved by their human counterparts

By TIMOTHY W. MARTIN AND SOOBIN KIM

SEOUL—After nearly a decade in a K-pop boy band, Kevin Woo returned home to the U.S. four years ago, looking to expand his musical career outside South Korea. His monthly Spotify listeners, until recently, stood at about 10,000.

Now, it's around 20 million.

The reason? Netflix's No. 1 movie globally, "KPop Demon Hunters," an animated film with girl-group protagonists and boy-

band baddies. Two of the film's tracks have sat atop the U.S. Spotify's most-streamed songs—feats never before achieved by BTS, Blackpink or any other K-pop group, real or imagined.

That's delivered a harsh reality to a genre seeking reinvention: Fictional bands have gotten popular faster in the U.S. than humans ever did. The triumph comes as the broader music industry grapples with unconventional entrants, like bogus hits created by AI claiming to be

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Scam Victims Point Finger at Banks

Some tricked into transferring funds want banks to take more responsibility

By DYLAN TOKAR

For nearly 50 years, Anamarie Hurt trusted her husband, Craig, to manage their finances. And he did a good job of it, making investments that grew into a comfortable nest egg.

Then Craig walked into a bank in Tulsa, Okla., and began moving their retirement funds into cryptocurrency in-

vestments that turned out to be fake. A year later, after losing more than \$5 million, the Hurts' life savings were gone.

At first, Anamarie's anger was directed at Craig. But it soon found another target: the bank that she said helped him send wires as high as \$300,000 at a time to scammers.

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AI Divides the Fortunes Of Tech's Magnificent 7

By ROSHAN FERNANDEZ

The "Magnificent Seven" stocks are starting to grow apart.

They are not quite heading to splitsville, but some of the market's tech heavyweights have made more headway in artificial intelligence—and that has put a strain on their relationship, at least with respect to their recent relative stock performance.

"They are in therapy," said Dan Morgan, senior portfolio manager at Synovus Trust, of the Magnificent Seven's diverging paths.

Amazon.com, Alphabet, Apple, Meta Platforms, Microsoft, Nvidia and Tesla have lorded over the stock market

in recent years, linked by the outside role they share in the economy's future and the significant slice they comprise in the benchmark S&P 500 index.

This year, though, shares of Nvidia, Meta and Microsoft have climbed about 20% or more, while Apple and Alphabet are down 16% and 2%, respectively. Each will soon deliver a quarterly scorecard to investors, with Alphabet and Tesla set to report earnings on Wednesday, followed by Meta, Microsoft and Apple the following week.

"It was inevitable. They all can't run in lockstep forever because they do different things," said Jamie Cox, managing partner at Harris Finan-

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Economy Shows Swagger As Tariff Fears Ebb

Consumers resume spending, helping to fight off worst-case scenarios of impact

By RACHEL WOLFE AND KONRAD PUTZIER

When President Trump slapped tariffs on nations across the globe this spring, many economists feared higher prices and spending cuts would flatten the economy.

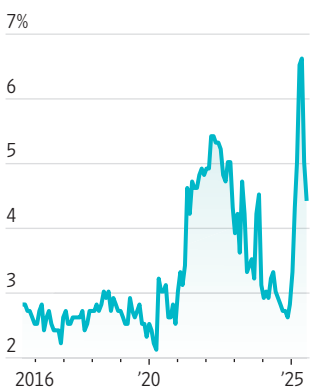
Consumer sentiment collapsed. The S&P 500 stock index fell by 19% between February and April. The world held its breath and waited for the bottom to drop out.

But that didn't happen. Now businesses and consumers are regaining their swagger, and evidence is mounting that those who held back are starting to splurge again.

The stock market is reaching records. The University of Michigan's consumer-sentiment index, which tumbled in April to its lowest reading in almost three years, has begun climbing again. Retail sales are up more than economists had forecast.

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12-month inflation expectations



Note: July 2025 figure is preliminary. Sources: University of Michigan, LSEG

◆ **Greg Ip: The inflation risks of firing Powell.....** **A2**